The Contemporary World

Arthur Robert P. Limongco
Mayra Christina M. Ambrocio,
DEM Genaldo C. Dagsindal
Chaira Faye L. Ferran

College of Arts and Sciences

LAGUNA UNIVERSITY

Vision

Laguna University shall be a socially responsive educational institution of choice providing holistically developed individuals in the Asia-Pacific Region.

Mission

Laguna University is committed to produce academically prepared and technically skilled individuals who are socially and morally upright.

Table of Contents

Module 1: Introduction to the Study of Globalization
Introduction 1 Learning Objectives 1 Lesson 1. Definition of Globalization 2 Lesson 2. Introduction to the Study of Globalization 8 Summary 11 Assessment Tasks 12 References 14

Module 2: The Global Economy
Introduction 15 Learning Objectives 15 Lesson 1. What is a global economy? 16 Lesson 2. What are the effects of global economy? 19 Summary 21 Assessment Tasks 22 References 24

Module 3: Market Integration
Introduction 25 Learning Objectives 25 Lesson 1. Definition of Market Integration 26 Lesson 2. Global Corporations 38 Summary 49 Assessment Tasks 50 References 54

Module 4: The Global Interstate System
Introduction 56 Learning Objectives 56 Lesson 1: The Attributes of Today's Global System 57 Lesson 2. Political Institutions in International Relations 60 Lesson 3. The Interstate System 64 Lesson 4. Internationalism 67 Lesson 5. Contemporary Global Governance 71 Lesson 6. Effects of Globalization to Governments 73 Summary 74 Assessment Tasks References

List of Figure

Figure Description

1.1 Globalization 1

Course Code: GE 5

Course Description: This course introduces students to the contemporary world by examining the multifaceted phenomenon of globalization. Using the various disciplines of the social sciences, it examines the economic, social, political, technological, and other transformations that have created an increasing awareness of the interconnectedness of peoples and places around the globe. To this end, the course provides an overview of the various debates in global governance, development, and sustainability. Beyond exposing the student to the world outside the Philippines, it seeks to inculcate a sense of global citizenship and global ethical responsibility.

This course includes mandatory topics on population education in the context

Course Intended Learning Outcomes (CILO):

At the end of the course, students should be able to:

A. Competencies
   1. Distinguish different interpretations of and approaches to globalization 2. Describe the emergence of global economic, political, social, and cultural systems
   3. Analyze the various contemporary drivers of globalization
   4. Understand the issues confronting the nation-state
   5. Assess the effects of globalization on different social units and their responses
B. Skills
   1. Analyze contemporary news events in the context of globalization 2. Analyze global issues in relation to Filipinos and the Philippines 3. Write a research paper with proper citations on a topic related to globalization
C. Values
   1. Articulate personal positions on various global issues
   2. Identify the ethical implications of global citizenship

Grading System:

Class Standing	**60%**
Major Examination	**40%**
Periodic Grade	**100%**

Preliminary Grade = 60% (Prelim Class standing) + 40 (Prelim Exam)
Midterm Grade = 30% (Prelim Grade) + 70 % [60% (Midterm Class Standing) + 40% (Midterm Exam)]
Final Grade = 30% (Midterm Grade) + 70% [60% (Final Class Standing + 40% (Final Exam)]

Note: Components of the Class Standing can be seen in the OBTLP and Class Grading Sheet.

MODULE 1
INTRODUCTION TO GLOBALIZATION

Introduction

The world is changing. As human beings residing in this lonely planet, we have come to adapt a living where we proved that we are capable of advancing and continue to evolve. From a life of living solely to small groups, from tribal to becoming a nation, we are now living and with lives interconnected globally.

It is very significant to study globalization because understanding the current international political economy is an important part of being a knowledgeable citizen. It is a very vital part of learning on our human connection and participation with the environment and humanity. Our day to-day practices at school, work, and home are a fundamental part of the globalization. The concept of understanding globalization provides us with the tools necessary to be productive members of our local and global communities.

This module focuses on the important aspects to understand this subject such as its vast definition, importance, history and how its importance and how it affects our daily lives.

Learning Outcomes

At the end of this module, students should be able to:

1. Write a personal definition of globalization based on a concept map;
2. Differentiate the competing conceptions of globalization;
3. Identify the underlying philosophies of the varying definition; and
4. Agree on a working definition of globalization for the course

Lesson 1. Definition of Globalization

Merriam-Webster (2021) defines globalization as the act or process of globalizing : the state of being globalized especially the development of an increasingly integrated global economy marked especially by free trade, free flow of capital, and the tapping of cheaper foreign labor markets.

Figure 1-1. Globalization (2020)

Source: https://www.dreamstime.com/globalization-word-cloud-hand-sphere-concept-white background-globalization-word-cloud-hand-sphere-concept-image127721332

Juneja (n.d.) further explains globalization in his two key points:

Globalization is the free movement of goods, services and people across the world in a seamless and integrated manner.

Globalization can be thought of to be the result of the opening up of the global economy and the concomitant increase in trade between nations. In other words, when countries that were hitherto closed to trade and foreign investment open up their economies and go global, the result

is an increasing interconnectedness and integration of the economies of the world. This is a brief introduction to globalization.

Globalization is grounded in the theory of comparative advantage which states that countries that are good at producing a particular good are better off exporting it to countries that are less efficient at producing that good.

Conversely, the latter country can then export the goods that it produces in an efficient manner to the former country which might be deficient in the same. The underlying assumption here is that not all countries are good at producing all sorts of goods and hence they benefit by trading with each other. Further, because of the wage differential and the way in which different countries are endowed with different resources, countries stand to gain by trading with each other.

Brief History of Globalization

Economic "globalization" is a historical process, the result of human innovation and technological progress. It refers to the increasing integration of economies around the world, particularly through the movement of goods, services, and capital across borders. The term sometimes also refers to the movement of people (labor) and knowledge (technology) across international borders. There are also broader cultural, political, and environmental dimensions of globalization.

Accoding to Steger, et. al. economists and sociologists initiated the exploration of globalization In the 1960's and 1970's, but historians did not engage with the concept until the 1990s. Subsequently, they embraced the trend, transforming the term into "an academic buzzword that penetrated every discipline" (Epple, 2012). However, this initial excitement was short-lived as cultural history gained prominence, and critiques of the term's Eurocentric nature became more pronounced. Cultural history questioned the value of a term with a universalizing scope that left little room for cultural contexts and interpretations of meaning. Simultaneously, historical anthropology remained skeptical of a concept that, with its teleological aspirations, largely obscured historical actors and their agency.

Steger (2023) states that Since ancient times, humans have sought distant places to settle, produce, and exchange goods enabled by improvements in technology and transportation. But not until the 19th century did global integration take off. Following centuries of European colonization and trade activity, that first "wave" of globalization was propelled by steamships, railroads, the telegraph, and other breakthroughs, and also by increasing economic

cooperation among countries. The globalization trend eventually waned and crashed in the catastrophe of World War I, followed by postwar protectionism, the Great Depression, and World War II.

After World War II in the mid-1940s, the United States led efforts to revive international trade and investment under negotiated ground rules, starting a second wave of globalization, which remains ongoing, though buffeted by periodic downturns and mounting political scrutiny. Also, after the war, the United States helped build a global economic order governed by mutually accepted rules and overseen by multilateral institutions. The idea was to create a better world with countries seeking to cooperate with one another to promote prosperity and peace. Free trade and the rule of law were mainstays of the system, helping to prevent most economic disputes from escalating into larger conflicts.

This current wave of globalization has been driven by policies that have opened economies domestically and internationally. In the years since the Second World War, and especially during the past two decades, many governments have adopted free-market economic systems, vastly increasing their own productive potential and creating myriad new opportunities for international trade and investment. Governments also have negotiated dramatic reductions in barriers to commerce and have established international agreements to promote trade in goods, services, and investment. Taking advantage of new opportunities in foreign markets, corporations have built foreign factories and established production and marketing arrangements with foreign partners. A defining feature of globalization, therefore, is an international industrial and financial business structure. (Globalization 101, 2020)

The Evolution of Globalization

Eriksen (2020) explains that from a chronological perspective, the globalization process appears as follows:

Stage 1 – it is comprised between 1400 and 1750, being called “the primary stage”, and witnesses geographic discoveries, colonization and the appearance of transcontinental trading exchanges.

Stage 2 – the interval 1750-1880, also known as the “incipient stage”; it is characterized by the formation of unitary states and the development of trading relations and the signing of the first agreements in the domain of international trading relations.

Stage 3 – comprised between 1880 and 1925, it is also called “the stage of development” when the manufactured production developed, the means of transport evolved, the international trading as well as the population migration intensified and the multinational organizations took shape.

Stage 4 - 1920 – 1927 when the great state powers crystallize and the worldwide organizations and institutions develop.

Stage 5 started at the end of the 20th century, being characterized by the intensification of regionalization and integration, but also by the strong development of multinational corporations.

“The first globalization era” is divided into two distinct stages:

The first stage lasts until the end of the 1920s and the beginning of the

1930s. The second stage begins after 1930, lasting until the Second World

War.

After the Second World War, a second globalization age has been outlined. During this period, globalization was guided by negotiations, during a first stage under the stipulations of the GATT (The General Agreement on Tariffs and Trade).

During the present period, globalization is developing under the influence of three categories of factors:

The increase of the international exchange area through the integration of new states from South America, Central and Eastern Europe and Eastern Asia.

The development of exchanges, especially in the domain of services.

The globalization of the organizations able to integrate their activities, especially their research development, supply and trading, on a world scale.

Globalization is a complex process, which, as one can see from what has been previously outlined, has manifested its symptoms beginning a very long time ago.

Both the Cold War and globalization are systems characterized by a unifying feature, actually diametrically opposite for each of them, and by a symbol: the wall in the case of the Cold War and the web for globalization. In the case of the Cold War, the unifying feature was the division in time, while for globalization this feature is unification. In 1975, the Cold War reached its climax: only 8 % of the world countries had liberal, democratic regimes, characterized by freedom of the market, and the direct foreign investments were, according to the World Bank, of $23 billion.

In 2009, the countries with a full democracy represented 18 %, those with a degraded democracy - 29 %, hybrid regimes - 21 % and the rest were authoritarian regimes. In contradiction with the Cold War, globalization has its own dominant culture, concretized in the ample extension of Americanization. Some economists divide the history into three stages:

The internationalization related to the development of the goods and services exports flows;

The transnationalization of the direct investment flows and the implantation of the large organizations abroad;

The implementation of the world production and information networks, leading to a better combination and rationalization of the corporate activity in the worldwide economic area.

Types of Globalization

According to Lutkevich et al. (n.d.), there are three types of globalization: economic, political, cultural.

Economic globalization. This type focuses on the unification and integration of international financial markets, as well as multinational corporations that have a significant influence on international markets.

Political globalization. This type deals mainly with policies designed to facilitate international trade and commerce. It also deals with the institutions that implement these policies, which can include national governments as well as international institutions, such as the International Monetary Fund and the World Trade Organization.

Cultural globalization. This type focuses on the social factors that cause cultures to converge -- such as increased ease of communication and transportation, brought about by technology.

Steger (2023) summarizes that globalization emerged as an economic phenomenon in the 1960s. But with the development of communications and the vast technological revolution brought by liberal systems, it has become an extension to the world capitalism, which seeks to create a liberal global community within which liberal values prevail. If we are to reflect upon the credit and debit sides of the process, we would realize that whatever advantages have come out of it, they are to a large extent accompanied with unintended effects of a process the basic

motivation of which is the expansion of market economies, the accumulation of wealth and the maximization of profits. While the current mechanisms of globalization provide certain opportunities to achieve technical progresses, and might push toward democracy and political rights, or even open unprecedented 'horizons' for the freedom of information, the process, on the other hand, paves the way for injustices and inequalities in the distribution of wealth among and within societies. The most serious effect of this process on human life lies in its role in widening the gap between the poor and the rich, not only at global level, but also at local/national levels. Therefore, injustices and inequalities associated with this process, and its various consequences on societies, religions, cultures, moral systems, and even sciences, could undermine its claim that it is a harbinger of a new age of global solidarity. In contrast, the process in its current formula could destroy the social systems of less power societies and threaten the future of human civilization. However, and regardless of our attitudes toward globalization, it is our moral responsibility, as proponents or opponents; individuals or groups; NGOs or governments, to rethink the process of globalization in a manner that enhances its advantages and reduces or eradicates its negatives.

Lesson 2. Introduction to the Study of Globalization

The aim of studying globalization to understand the differences and similarities of different cultures and to understand how we are connected and at the same time separated from the world.

Effects of Globalization

More Goods at Lower Prices

Globalization encourages each country to specialize in what it produces best using the least amount of resources, known as comparative advantage. This concept makes production more efficient, promotes economic growth, and lowers prices of goods and services, making them more affordable especially for lower-income households.

Scaled Up Businesses

Larger markets enable companies to reach more customers and get a higher return on the fixed costs of doing business, like building factories or conducting research. Technology firms have taken special advantage of their innovations this way.

Better Quality And Variety

Competition from abroad drives US firms to improve their products. Consumers have better products and more choices as a result.

Innovation

Expanded trade spurs the spread of technology, innovation, and the communication of ideas. The best ideas from market leaders spread more easily.

Job Churn

Globalization supports new job opportunities but also contributes to job displacement. It does not significantly change the total number of positions in the economy, as job numbers are primarily driven by business cycles and Federal Reserve and fiscal policies. Many of them also face lower earnings or have dropped out of the workforce. Bigger factors than trade driving job

displacements are labor-saving technologies, like automated machines and artificial intelligence.

Better-paying positions have opened up in manufactured exports—especially in high-tech areas, such as computers, chemicals, and transportation equipment—and other high-skill work, notably in business services, such as finance and real estate.

Decline In Gap Between Rich And Poor Globally, But Wider Inequality Within United States

Globalization has helped narrow inequality between the poorest and richest people in the world, with the number living in extreme poverty cut by half since 1990. But within many countries, including the United States, inequality is rising. Wages have also stagnated, though economists are still debating the exact causes. Countries exposed to globalization have alleviated inequality to different degrees through tax and welfare systems. (Kolb, 2018)

Bakar (2015) states that Globalization can be both negative and positive. In the Philippines, the goal of attaining sustainable development has been a primary consideration; therefore, global forces are often intended to achieve, and directed towards achieving this purpose. However, these efforts do not always mean that different communities are able to participate at the same level or even benefit from these endeavors. This is the case for indigenous communities like the Moros in the southern Philippines, who are facing many issues regarding globalization.

Advantages and Disadvantages of Globalization (Rouse, 2020)

Advantages	Disadvantages
Proponents of globalization argue that it can solve fundamental problems with the global economy, such as poverty and unemployment, by promoting a free market that benefits rich and poor nations alike.	The biggest advantages of globalization are also its biggest disadvantages. While many proponents view globalization as an avenue for solving core economic problems, critics see it as worsening global inequality.
Free trade aims to reduce the amount of trade barriers between nations. A trade barrier is any imposed restriction on international trade, including tariffs and subsidies.	some critics say such moves could lower living standards in developed countries by eliminating jobs.
This consequently promotes economic growth, creates jobs, makes companies more competitive and lowers prices for consumers.	Critics point out that increased travel has the potential to increase the risk of pandemics, with the H1N1 (swine flu) outbreak of 2009

	and the coronavirus of 2020 serving as two examples of serious diseases that spread to multiple nations very quickly.
It also theoretically gives poorer countries an opportunity for economic development through exposure to foreign capital and tech, resulting in conditions that foster an improved standard of living for the citizens of that nation.	critics decry the decimation of unique cultural identity and language, especially in the age of social media.

.

Summary

- Merriam-Webster (2021) defines globalization as the act or process of globalizing : the state of being globalized especially the development of an increasingly integrated global economy marked especially by free trade, free flow of capital, and the tapping of cheaper foreign labor markets.
- Economic "globalization" is a historical process, the result of human innovation and technological progress. It refers to the increasing integration of economies around the world, particularly through the movement of goods, services, and capital across borders. The term sometimes also refers to the movement of people (labor) and knowledge (technology) across international borders. There are also broader cultural, political, and environmental dimensions of globalization.
- There are three types of globalization: economic, political, cultural.
- The aim of studying globalization to understand the differences and similarities of different cultures and to understand how we are connected and at the same time separated from the world.
- Globalization can be both negative and positive. In the Philippines, the goal of attaining sustainable development has been a primary consideration; therefore, global forces are often intended to achieve, and directed towards achieving this purpose.

Assessment Task 1-1

Concept Mapping : Based on the lesson, write your understanding on Globalization using the graphic organizer below.

.

.

GLOBALIZATION

.

.

Assessment Task 1-2

Compose an essay illustrating the three distinct forms of globalization and analyze the merits and drawbacks associated with each, incorporating scholarly criticisms for each type. Ensure to provide proper citations for your sources.

Source: _____

Performance Task 1-2

Search an article from a newspaper either online or printed, local or international about globalization. Write a review about that article identifying the underlying definitions of globalization and its effect. Write the reference / source of the article below.

Source: _____

References

Bakar C.A. (2015) Globalization: Issues, Challenges and Responses Among the Moros of the Southern Philippines. In: Miichi K., Farouk O. (eds) Southeast Asian Muslims in the Era of Globalization. Palgrave Macmillan, London. https://doi.org/10.1057/9781137436818_6

Globalization101. (2020). What Is Globalization? | Retrieved 8 January 2021, from https://www.globalization101.org/what-is-globalization/

Juneja, P. (n.d.) What is Globalization? - Meaning and its Importance. Retrieved 8 January 2021, from https://www.managementstudyguide.com/what-is-globalization.htm

Lutkevich, B., Ferguson, K. and Pratt, M. (n.d.) What Is Globalization? Globalization Explained. Retrieved 2 January 2021, from https://searchcio.techtarget.com/definition/globalization

Kolb, M. (2018) What Is Globalization?. Retrieved 5 January 2021, from https://www.piie.com/microsites/globalization/what-is-globalization#

Merriam-Webster (2021). Definition of GLOBALIZATION. Retrieved 6 January 2021, from https://www.merriam-webster.com/dictionary/globalization

Rouse, M. (2020) Globalization Explained. (2021). Retrieved 8 January 2021, from https://searchcio.techtarget.com/definition

Steger, M. B., Benedikter, R., Pechlaner, H. and Kofler, I. (2023) Globalization: Past, Present, Future. Oakland: University of California Press. DOI: https://doi.org/10.1525/luminos.172

Eriksen, T. H. (2020). *Globalization: The key concepts:* Routledge. DOI: https://doi.org/10.4324/9781003085492

MODULE 2
THE GLOBAL ECONOMY

Introduction

The structure of the world economy determines gains from the international participation of different corporations, organizations, institutions, and communities in the world. This module will discuss the interconnected worldwide economic activities that take place between multiple countries. The exchange of goods and services between different countries, and which helped countries to specialize in products which they have a comparative advantage in. Also, this includes all economic activities which are conducted both within and between nations, including production, consumption, and economic management, exchange of financial values and trade of goods. Moreover, this module will give an idea on indicator that explains how much different markets are related to each other. A marketer plays the role of an integrator in the sense that he collects feedback or vital inputs from other channel members and consumers and provides product solutions to customers by coordinating multiple functions of organization.

Learning Outcomes

At the end of the module, students should be able to:

1. Define economic globalization;
2. Identify the actors that facilitate economic globalization;
3. Define the modern world system; and
4. Articulate a stance on global economic integration;

Lesson 1: What is a global economy? (Maskell & Kennedy, 2007)

The global economy refers to the interconnected worldwide economic activities that take place between multiple countries. These economic activities can have either a positive or negative impact on the countries involved.

The global economy comprises several characteristics, such as:

Globalization: Globalization describes a process by which national and regional economies, societies, and cultures have become integrated through the global network of trade, communication, immigration, and transportation. These developments led to the advent of the global economy. Due to the global economy and globalization, domestic economies have become cohesive, leading to an improvement in their performances.

International trade: International trade is considered to be an impact of globalization. It refers to the exchange of goods and services between different countries, and it has also helped countries to specialize in products which they have a comparative advantage in. This is an economic theory that refers to an economy's ability to produce goods and services at a lower opportunity cost than its trade partners.

International finance: Money can be transferred at a faster rate between countries compared to goods, services, and people; making international finance one of the primary features of a global economy. International finance consists of topics like currency exchange rates and monetary policy.

Global investment: This refers to an investment strategy that is not constrained by geographical boundaries. Global investment mainly takes place via foreign direct investment (FDI).

Why is the global economy important?

We can understand the importance of the global economy by looking at it in relation to emerging markets:

Economic importance at a micro and macro level: The increase in the world's population has led to emerging markets growing economically, making them one of the primary engines of world economic growth. The growth and resilience shown by emerging markets is a good sign for the world economy. Before delving into the next point, you need to understand the concept of

microeconomics. It refers to the study of the behaviour of households, individuals, and firms with respect to the allocation of resources and decision-making. In simpler terms, this branch of economics studies how people make decisions, what factors affect their decisions, and how these decisions affect the price, demand, and supply of goods in the market. Therefore, from the perspective of microeconomics, some of the largest firms with high market value and a few of the richest individuals in the world hail from these emerging markets, which has helped in the higher distribution of income in these countries. However, many of these emerging countries are still plagued by poverty, and work still needs to be done to work towards eradicating it.

Long-term world economic outlook: According to financial and economic projections based on demographic trends and capital productivity models, the GDP in emerging market economies in 2019 are likely to keep increasing at a positive rate. According to an emerging markets economic forecast for 2019 conducted by Focus Economics, the economy is set to increase by 7.5% in India, 6.6% in Philippines, 6.3% in China, 5.3% in Indonesia, 5.1% in Egypt, 4.9% in Malaysia, 3.8% in Peru and 3.7% in Morocco.

Who controls the global economy?

Many people think that the global economy is controlled by governments of the largest economies in the world, but this a common misconception. Although governments do hold power over countries' economies, it is the big banks and large corporations that control and essentially fund these governments. This means that the global economy is dominated by large financial institutions. According to world economic news, US banks participate in many traditional government businesses like power production, oil refining and distribution, and also the operating of public assets such as airports and train stations. This was proven when certain members of the US Congress sent a letter to the Federal Reserve Chairman Ben Bernanke. Here's an excerpt from the letter:

"Here are a few examples. Morgan Stanley imported 4 million barrels of oil and petroleum products into the United States in June, 2012. Goldman Sachs stores aluminium in vast warehouses in Detroit as well as serving as a commodities derivatives dealer. This "bank" is also expanding into the ownership and operation of airports, toll roads, and ports. JP Morgan markets electricity in California.

In other words, Goldman Sachs, JP Morgan and Morgan Stanley are no longer just banks – they have effectively become oil companies, port and airport operators, commodities dealers, and electric utilities as well."

How does the global economy work?

The functioning of the global economy can be explained through one word —transactions. International transactions taking place between top economies in the world help in the continuance of the global economy. These transactions mainly comprise trade taking place between different countries. International trade includes the exchange of a variety of products between countries. It ranges all the way from fruits and foods, to natural oil and weapons. Such transactions have a number of benefits including:

Providing a foundation for worldwide economic growth, with the international economy set to grow by 4% in 2019 (World Trade Organization, n.d.);

Encouraging competitiveness between countries in various markets;

Raising productivity and efficiency across countries;

Helping in the development of underdeveloped countries by allowing them to import capital goods (machinery and industrial raw materials) and export primary goods (natural resources and raw materials).

Lesson 2: What are the effects of global economy? (Maskell & Kennedy, 2007)

Nearly every country in the world is in some way affected by things that happen in what may seem at times, like unrelated countries - due to the influence of the global economy. A good example of this is the economic impact that the Brexit vote will have other countries, not only in Europe, but across the globe. Brexit was referendum decision for the United Kingdom to withdraw from the European Union (EU).

The main cause of these effects is economics — based on the production and exchange of goods and services. Restrictions on the import and export of goods and services can potentially hamper the economic stability of countries who choose to impose too many.

The purpose of international trade is similar to that of trading within a country. However, international trade differs from domestic trade in two aspects:

The currencies of at least two countries are involved in international trade, so they must be exchanged before goods and services can be exported or imported;

Occasionally, countries enforce barriers on the international trade of certain goods or services which can disrupt the relations between two countries.

Countries usually specialize in those products that they can produce efficiently, which helps in reducing overall manufacturing costs. Then, countries trade these products with other countries, whose product specialization is something else altogether. Having greater specialization helps countries take advantage of economies of scale. Economies of scale refer to the proportionate saving in costs gained by an increased level of production. Manufacturers in these countries can focus all their efforts on building factories for specialized production, instead of spending additional money on the production of various types of goods.

Occasionally countries add barriers to international trade. Some of these barriers include trade tariffs (taxes on imports) and trade quotas (limitation on the number of products that can be imported into a country). Trade barriers often affect the economies of the trading countries, and in the long run, it becomes difficult to keep employing such barriers.

What are the benefits of global economy?

There are numerous benefits of a global economy, which include:

Free trade: Free trade is an excellent method for countries to exchange goods and services. It also allows countries to specialize in the production of those goods in which they have a comparative advantage.

Movement of labor: Increased migration of the labor force is advantageous for the recipient country as well as for the workers. If a country is going through a phase of high unemployment, workers can look for jobs in other countries. This also helps in reducing geographical inequality.

Increased economies of scale: The specialization of goods production in most countries has led to advantageous economic factors such as lower average costs and lower prices for customers.

Increased investment: Due to the presence of global economy, it has become easier for countries to attract short-term and long-term investment. Investments in developing countries go a long way in improving their economies.

Factors affecting global economy

According to the latest economic news, here are some of the key factors that influence and affect how well the global economy works:

- Natural resources;
- Infrastructure;
- Population;
- Labour;
- Human capital;
- Technology;
- Law.

Assessment Task 2-1

Direction: Supply the missing word in each statement. Choose the best answer in box.

1. The _____ refers to the interconnected worldwide economic activities that take place between multiple countries. These economic activities can have either a positive or negative impact on the countries involved.

2. Due to the global economy _____and, domestic economies have become cohesive, leading to an improvement in their performances.

3. _____is considered to be an impact of globalization. It refers to the exchange of goods and services between different countries, and it has also helped countries to specialize in products which they have a comparative advantage in.

4. _____consists of topics like currency exchange rates and monetary policy. 5.

_____mainly takes place via foreign direct investment (FDI). 6.

_____is an excellent method for countries to exchange goods and services.

7. _____often affect the economies of the trading countries, and in the long run, it becomes difficult to keep employing such barriers.

8. According to world economic news, _____ participate in many traditional government businesses like power production, oil refining and distribution, and also the operating of public assets such as airports and train stations.

9. According to financial and economic projections based on demographic trends and capital productivity models, the in emerging market economies in 2019 are likely to keep increasing at a positive rate.

10. _____on the import and export of goods and services can potentially hamper the economic stability of countries who choose to impose too many.

short-term and long-term investment globalization
International trade US banks
global economy Free trade
customers Global investment
GDP Restrictions

International finance exchange goods and services Production Trade

barriers

Assessment Task 2-2

Direction: In the discussion on how does the global economy wok, it was emphasized that international transactions taking place between top economies in the world help in the continuance of the global economy. These transactions mainly comprise trade taking place between different countries. International trade includes the exchange of a variety of products between countries. Having these ideas, complete the table below by giving explanations on the benefits of global economic transactions.

Benefits	Explanation
Providing a foundation for worldwide economic growth.	
Encouraging competitiveness between countries in various markets.	
Raising productivity and efficiency across countries	
Helping in the development of underdeveloped countries by allowing them to import capital goods (machinery and industrial raw materials) and export primary goods (natural resources and raw materials).	

Rubric for Scoring:

CATEGORY	5	3	1
Content	Concise and clear explanations are given per category	Explanations are given per category	Limited explanation is given per category
Readability of Text	All texts are readable and legibly written	Some texts are readable and not legibly written	Most of the texts are not readable and not legibly written
Spelling and Grammar	No errors in grammar and spelling	2-3 errors in grammar and spelling	More than 5 errors in grammar and spelling

Summary

- The global economy refers to the interconnected worldwide economic activities that take place between multiple countries. These economic activities can have either a positive or negative impact on the countries involved. The global economy comprises several characteristics, such as: Globalization, International Trade, International finance, and Global Investment.
- The functioning of the global economy can be explained through one word — transactions. International transactions taking place between top economies in the world help in the continuance of the global economy. These transactions mainly comprise trade taking place between different countries.
- International trade includes the exchange of a variety of products between countries. It ranges all the way from fruits and foods, to natural oil and weapons. According to the latest economic news, here are some of the key factors that influence and affect how well the global economy works; Natural resources; Infrastructure; Population; Labour; Human capital; Technology; and Law.

Reference

Maskell, B. H., & Kennedy, F. A. (2007). Why do we need lean accounting and how does it work? Journal of Corporate Accounting & Finance, 18(3), 59–73. https://doi.org/10.1002/jcaf.20293

MODULE 3
MARKET INTEGRATION

Introduction

Market Integration focus on issues related to market integration as part of the developmental process of emerging economies. It pursues to investigate issues that create obstacles to markets in the fields of agriculture, education, health, environment, infrastructure, labor, finance, business and institutional structures.

This module describes market integration in different perspective and explains the responsibility of financial institution in the formation of a global economy. We will be tracing the history of global market integration in the 21st century and learn the attributes of global corporations.

Learning Outcomes

At the end of the module, students should be able to:

1. Explain the role of international financial institutions in the creation of a global Economy;
2. Narrate a short history of global market integration in the twentieth century; and 3. Identify the attributes of global corporations

Lesson 1: Definition of Market Integration

According to Chen, J. et al (2022). Market integration refers to the unrestricted circulation of goods, services, and production factors across various regions, leading to the equalization of prices for goods and capital. Consider the scenario of a small business based in the Philippines that produces handmade crafts. In a market-integrated environment, this business can easily export its products to neighboring countries within the South East Asian Region, such as Malaysia and Thailand, without facing customs or trade barriers. The seamless circulation of goods enables the business to expand its customer base across borders, and since the market is integrated, the prices of the handmade crafts are relatively consistent across these countries. This scenario illustrates how market integration facilitates cross-border trade and contributes to a more unified economic space.

Free Trade

Definition

Free Trade wherein international trade (the importation and exportation) left to its natural course without tariffs and non-tariff trade barriers such as quotas, embargoes, sanctions or other restrictions. o Tariffs - taxes or duties to be paid on a particular class of imports or export so Embargo - a government-instituted prevention of exports to a certain country. Official ban on trade or other commercial activity. (The United States has imposed several long running embargoes on other countries including Cuba, North Korea and Iran)o Economic sanctions - commercial and financial penalties applied by one or more countries against a targeted country, group, or individual

Free Trade Areas - a group of countries within which tariffs and non-tariff trade barriers between the members are generally abolished but with no common trade policy toward non members. Both in the sense of geography and price, is the foundation of these trading agreements. However, tariffs are not necessarily completely abolished for all products. Free trade areas impose exclusivity among its members since the world is not entirely a free trade economy.

WORLD'S MAJOR FREE TRADE AREAS

1. North American Free Trade Agreement (NAFTA)

2. Association of Southeast Asian Nations Free Trade Area (AFTA)

3. Southern Common Market (MERCOSUR)

4. Common Market of Eastern and Southern Africa (COMESA)

Here are not Free Trade Areas yet Union and Partnership Agreements

5. European Union

6. Trans-Pacific Partnership
7. Transatlantic Trade and Investment Partnership – not yet ratified

North American Free Trade Agreement (NAFTA)

• Free trade between the three member nations, Canada, the US and Mexico •

Effective on January 1, 1994 -Although tariffs weren't fully abolished until 2008 •

by 2014 total trilateral merchandise trade exceeded US$1.12 trillion

• trade with Canada and Mexico supports more than 140,000 small and medium sizebusinesses and over 3 million jobs in the US

• Gains in Canada are reportedly even higher, with 4.7 million new jobs added since 1993.Canada is also the largest exporter of goods to the US

• Association of Southeast Asian Nations Free Trade Area (AFTA)

• The original members were Brunei, Indonesia, Malaysia, Philippines, Singapore and Thailand. Four countries have subsequently joined: Vietnam, Laos, Myanmar and Cambodia

• The AFTA was signed in January 1992 in Singapore

- The bloc has largely removed all export and import duties on items traded between the nations.
- It has also entered into agreements with a number of other nations, including China, eliminating tariffs on around 90% of imported goods.
- The AFTA nations had a combined GDP of US$2.3 trillion in 2012, and they're home to600 million people.

Southern Common Market (MERCOSUR)

- a Latin American single market, its full members are Argentina, Brazil, Paraguay and Uruguay. Venezuela is a full member but has been suspended since December 1, 2016.Meanwhile, Bolivia obtained its full membership on July 7, 2015.
- Established by the Treaty of Asunción in 1991 and Protocol of Ouro Preto in 1994 • The four have a combined gross domestic product (GDP) of roughly $2.9 trillion • Latin America's second-largest trade group, the Pacific Alliance, which comprises Chile, Colombia, Mexico, and Peru, has a combined GDP of about $1.8 trillion

Common Market of Eastern and Southern Africa (COMESA)

- The member States of COMESA are: Burundi, the Comoros, the Democratic Republic of Congo, Djibouti, Egypt, Eritrea, Ethiopia, Kenya, Libya, Madagascar, Malawi, Mauritius, Rwanda, Sudan, Swaziland, Seychelles, Uganda, Zambia and Zimbabwe • Formed in December 1994
- an annual export bill in excess of $80 billion, the organization is a significant market place, both within Africa and globally
- COMESA ultimately aims to remove all barriers to intra-regional trade, starting with preferential tariffs and working towards a tariff-free common market and economic union

European Union (EU)

- is a single market, which is similar to a free trade area in that it has no tariffs, quotas or taxes on trade
- The 28 member countries of the EU Austria, Italy, Belgium, Latvia, Bulgaria, Lithuania,Croatia, Luxembourg, Cyprus, Malta, Czech Republic, Netherlands,

Denmark, Poland,Estonia, Portugal, Finland, Romania, France, Slovakia, Germany, Slovenia, Greece,Spain, Hungary, Sweden, Ireland, United Kingdom

- The European Union's GDP was estimated to be €14.8 trillion or $17.1 trillion (nominal) in2016
- In 1957, the Treaty of Rome established the European Economic Community (EEC) orCommon Market. However, it was not until 1986 that the Single European Act wassigned. This treaty formed the basis of the single market as we know it, as it aimed toestablish the free-flow of trade across EU borders. By 1993 this process was largelycomplete.

Trans-Pacific Partnership (TPP)

- Australia, Brunei, Canada, Chile, Japan, Malaysia, Mexico, New Zealand, Peru, Singapore and Vietnam have just signed the trade pact formerly known as the Trans-Pacific Partnership
- In the absence of the US, it has been renamed the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP)
- Signed February 04, 2016
- The deal covers a market of nearly 500 million people, despite the US pullout •

The Transatlantic Trade and Investment Partnership

- The Transatlantic Trade and Investment Partnership is a deal currently being negotiated between the EU and the US.
- It would cover 45% of global GDP.
- The Center for Economic Policy Research has estimated that the deal would be worth $134billion a year for the EU and $107 billion for the US – although opponents have disputed these figures.

Free Trade Issue

In government, free trade is predominately advocated by political parties that hold right wing economic positions, while economically left-wing political parties generally support

PROTECTIONISM.

- Protectionism - the theory or practice of shielding a country's domestic industries fromforeign competition by taxing imports to protect their domestic industries

- Economic nationalism or economic patriotism - an ideology that favors state interventionism in the economy, with policies that emphasize domestic control of the economy, labor, and capital formation, even if this requires the imposition of tariffs and other restrictions on the movement of labor, goods and capital

Brief History of Global Market Integration in the 20th Century

- The international economic integration achieved during the nineteenth century was largely unraveled in the twentieth by two world war and the Great Depression.

- World War 1 brought the liberal economic order of the late 19th century to an abrupt end;1914 clearly marked a dramatic and discontinuous break in the past.

- Import shares fell only marginally in Britain during the war. In France, the import share rose from 20% before the war to 36.7 % during it; again exports fell sharply.

- Export ratios rose in neutral economies such as in Sweden, Japan, and North America., where grain production expanded sharply during the war years to meet Allied demand.

- The absence of European manufactured exports on world markets stimulated the expansion of industrial capacity, above all in the United States and Japan, but also in countries such as India, Australia, and Latin America.

- The end of war did not imply an end to protection. Different tariff acts and restrictions are made.

- The Great Depression was of course a major reason for the adoption of severe protection, and not just in the periphery.

- Beginning in 1932, there were several signs that at least some countries were trying to moderate, if not reverse, the increase in protectionism of the previous year or two.

- Post war economic reintegration was supported by several factors, both technological and political.

The Role of International Financial Institutions in the Creation of Global Economy

International Financial Institutions

- International non-profit agencies are one of the major sources of financing like regional development banks or banks globally.
- To finance productive development projects or to promote economic development

WORLD BANK

- multinational financial institution established at the end of World War II (1944) to help provide long-term capital for the reconstruction and development of member countries.
- it provides much of the planning and financing for economic development projects involving billions of dollars

Purpose for the setting up of the Bank

- To assist in the reconstruction and development of territories of members
- To promote private foreign investment by means of guarantees or participation in loans and other investments made by private investors
- To promote the long-range balanced growth of international trade and the maintenance of equilibrium in balance of payments
- To conduct its operations with due regard to the effect of international investment on business conditions in the territories of members
- To assist in bringing about a smooth transition from a wartime to a peacetime economy

International Bank for Reconstruction and Development (IBRD)

- The IBRD was set up in 1945 along with the IMF to aid in rebuilding the world economy and it was owned by the governments of 151 countries and its capital is subscribed by those governments

• It provides funds to borrowers by borrowing funds in the world capital markets, from the proceeds of loan repayments as well as retained earnings.

• At its funding, the bank's major objective was to serve as an international financing facility to function in reconstruction and development.

• Lends money to a government for the purpose of developing that country's economic infrastructure such as roads and power generating facilities

• Also, funds are lent only to members of the IMF, usually when private capital is unavailable at reasonable terms. - Generally, bank loans are made to cover only import needs in foreign convertible currencies and must be repaid in those currencies at long-term rates.

• The government assisted in formulating and implementing an effective and comprehensive strategy for the development of new industrial free zones and the expansion of existing ones

• Lays special operational emphasis on environmental and women's issues •

International Development Association

• The IDA was formed in 1960 as a part of the World Bank Group to provide financial support to LDCs and has 137 member countries, although all members of the IBRD are free to join the IDA.

IDA's funds come from subscriptions from its developed members and from the earnings of the IBRD.

• Credit terms usually are extended to 40 to 50 years with no interest. - Repayment begins after a ten-year grace period and can be paid in the local currency, as long as it is convertible.

• Although the IDA's resources are separate from the IBRD, it has no separate staff. Loans are made for similar projects as those carried out by IBRD, but at easier and more favorable credit terms.

- - The present emphasis seems to be on helping the masses of poor people in the developing countries become more productive and take an active part in the development process. Greater emphasis is being placed on improving urban living conditions and increasing productivity of small industries.

International Finance Corporation

- The IFC was established in 1956. There are 133 countries that are members of the IFC and itis legally and financially separate from the IBRD

- Main responsibilities are:

(i) To provide risk capital in the form of equity and long-term loans for productive private enterprises in association with private investors and management;

(ii) To encourage the development of local capital markets by carrying out standby and underwriting arrangements; and

(iii) To stimulate the international flow of capital by providing financial and technical assistance to privately controlled finance companies. Loans are made to private firms in the developing member countries and are usually for a period of seven to twelve years

- The key feature of the IFC is that its loans are made to private enterprises and its investments are made in conjunction with private business.

- In addition to funds contributed by IFC, funds are also contributed to the same projects by local and foreign investors

What does the World Bank do?

- The World Bank is the world's largest source of development assistance, providing nearly$30 billion in loans, annually, to its client countries.

- The main focus is on helping the poorest people and the poorest countries hut for all its clients, the Bank emphasizes the need for:

- investing in people, particularly through basic health and education;
- protecting the environment;
- supporting and encouraging private business development;
- strengthening the ability of the governments to deliver quality services efficiently and transparently;
- o • promoting reforms to create a stable macroeconomic environment conducive to investment and long-term planning;
- focusing on social development, inclusion, governance and
- Institution building as key elements of poverty reduction

• The Bank is also helping countries to strengthen and sustain the fundamental conditions that help to attract and retain private investment.

• They are investing in human resources, infrastructure and environmental protection which enhance the attractiveness and productivity of private investment

INTERNATIONAL MONETARY FUND

• IMF is a cooperative institution that 182 countries have voluntarily joined because they see the advantage of consulting with one another on this forum to maintain a stable system of buying and selling their currencies

• Its policies and activities are guided by its Charter known as the Articles of Agreement.

• IMF lends money to members having trouble meeting financial obligations to other members, but only on the condition that they undertake economic reforms to eliminate these difficulties for their own good and that of the entire membership.

• Contrary to widespread perception, the IMF has no effective authority over the domestic economic policies of its members

• There are several major accomplishments to the credit of the International Monetary System.

For example, it

- sustained a rapidly increasing volume of trade and investment;
- displayed flexibility in adapting to changes in international commerce; • proved to be efficient (even when there were decreasing percentages of reserves to trade);
- proved to be hardy (it survived a number of pre-1971 crises, speculative and otherwise, and the down-and-up swings of several business cycles);
- allowed for a growing degree or international cooperation;
- established a capacity to accommodate reforms and improvements

- To an extent, the fund served as an international central bank to help countries during periods of temporary balance of payments difficulties by protecting their rates of exchange. Because of that, countries did not need to resort to exchange controls and other barriers to restrict world trade

Purpose of IMF

- To promote international monetary cooperation through a permanent institution that provides the machinery for consultation and collaboration on international monetary problems

- To facilitate the expansion and balanced growth of international trade and to contribute, thereby, to the promotion and maintenance of high levels of employment and real income and to the development of the productive resources of all members as primary objectives of economic policy

- To promote exchange stability, to maintain orderly exchange arrangements among members and to avoid competitive exchange depreciation

- To assist in the establishment of a multilateral system of payments in respect of current transactions between members and in the elimination of foreign exchange restrictions which hamper the growth of world trade

- To give confidence to members by making the general resources of the Fund temporarily available to them under adequate safeguards, thus providing them with opportunity to

correct maladjustment in their balance of payments without resorting to measures destructive to national or international prosperity

- In accordance with the above, to shorten the duration and lessen the degree of disequilibrium in the international balances of payments of members.

How can IFIs help in Economic Globalization

- They focus on long-term investment projects, institution-building, and on social, environmental, and poverty issues- strengthen economic governance- safeguard the stability and integrity of the international financial system as a global public good encouraging true national ownership of reforms by streamlining the conditions attached to IMF

- Supported programs.- recognizes and values the role of civil society organizations ➢

ensuring the stability of the international financial system

Helping individual countries take advantage of the investment opportunities offered by international capital markets, while reducing their vulnerability to adverse shocks or changes in investor sentiment.

- ➢ Trade liberalization
- ➢ Reducing debt burdens
- ➢ Setting the stage for the 2030 development agenda

The IMF's contribution to the pandemic

Lesson 2: Global Corporations

A. Definition of Corporation

A corporation is an artificial being created by operation of law, having the right of succession and the powers, attributes and properties expressly authorized by law or incident to its existence (Batas Pambansa Blg. 68 The Corporation Code of The Philippines, Section 2 – Corporation defined).

According to Investopedia, a corporation is a legal entity that is separate and distinct from its owners. Corporations enjoy most of the rights and responsibilities that an individual possesses; that is, a corporation has the right to enter into contracts, loan and borrow money, sue and be sued, hire employees, own assets and pay taxes.

Based on Entrepreneur Asia Pacific Small Business Encyclopedia, corporation is a form of business operation that declares the business as a separate, legal entity guided by a group of officers known as the board of directors.

B. The Birth of Corporations Earliest forms of Global Corporations (Religious and Mercantile Sectors)

• Roman Catholic Church as the religion of Roman Empire during the 4th Century AD. It sought monopoly of spiritual power against both paganism and other religious faiths in those territories that came under its influence.

• Muscovy Company, also called Russia Company. The company was founded in 1551 by Richard Chancellor, Sebastian Cabot and Sir Hugh Willoughby. The Muscovy Company, originally known as The Company of Merchant Adventurers to New Lands, underwent a renaming and restructuring following the successful expedition to Russia led by Richard Chancellor in 1553. Chancellor navigated around the northern tip of Scandinavia and reached Kholmogory on the Northern Dvina, where a significant trading monastery was situated. Subsequently, he undertook a 600-mile sleigh journey to Moscow from there. Tsar Ivan IV (Ivan the Terrible) extended a warm welcome to the English expedition, perceiving them as having established a viable sea route to the West, especially since the Baltic route was not yet available. Upon Chancellor's return to England in 1554, bearing letters from the Tsar, the Company was formally granted its charter by Queen Mary Tudor in 1555. Chancellor embarked on another journey to Russia the following year but met with a shipwreck off the coast of Scotland during his return. Unfortunately, he drowned in the incident, though the Russian ambassador, Osip Nepeya, survived and later made a remarkable entrance into London.

• The British East India Company, founded in 1600, and The Dutch East India Company, founded in 1602, are often called the first multinational corporations. Headquartered in England and the Netherlands, respectively, these firms were set up to trade goods such as cotton and spices over a large portion of South and Southeast Asia, then called the East Indies. The Dutch East India Company very quickly became the wealthiest and largest mercantile organization the world had ever seen; by 1669 it had 150 merchant ships, 40warships, 50,000 employees and a private army of 10,000 soldiers, and paid dividends of 40per cent per annum

•The Dutch West India Company, also known by its Dutch name West-Indische Compagnie (WIC), was a chartered company established in 1621 by the Dutch Republic to conduct trade and establish colonies in the Americas and Africa. Operating during the age of European colonial expansion, the WIC played a significant role in the Dutch involvement in the Atlantic slave trade and the establishment of colonies in the Caribbean, notably in areas such as New Netherland (present-day New York), Brazil, and the Dutch Caribbean islands. The company's primary objectives included profiting from the transatlantic trade of commodities such as sugar, tobacco, and slaves. While the WIC faced economic challenges and conflicts with other colonial powers, its activities had a lasting impact on the shaping of Dutch colonial history in the Americas.

• Industrial Revolution 1700's. From the introduction of the first viable Steam Engine by Thomas Newcomen at Dudley Castle coal mine in 1712, the invention of steam engine was crucial to the industrialization of modern civilization. For almost 200 years it was the outstanding source of power for industry and transport systems in the West.

• The Civil War in the United States began in 1861, after decades of simmering tensions between northern and southern states over slavery, states' rights and westward expansion. Growing abolitionist sentiment in the North after the 1830s and northern opposition to slavery's extension into the new western territories led many southerners to fear that the existence of slavery in America—and thus the backbone of their economy—was in danger.

• World War II (1934-1935) During the war a number of major multinational corporations engaged in the production of strategic materials, such as oil and synthetic rubber, were accused in congressional hearings and on the floor of Congress of having conspired with the enemy before the war. In particular, the oil and petrochemical industries were charged with exchanging trade secrets in chemicals with the chemical giant I. G. Farben and other German firms deemed instruments of Nazi policy in return for trade secrets in oil refining. Civil and criminal actions were even brought against a number of these companies, the most notable being against Exxon, which in 1929 had signed an agreement with Farben recognizing its "preferred position" in chemicals in return for Farben's recognition of Exxon's" preferred position" in oil and natural gas. The two giant corporations also pledged close cooperation in their respective enterprises. Standard Oil (Exxon) – based in Irving Texas,USA sold their patent of coal hydrogenation processes to the Germans (I.G. Farben) so that the Germans could produce fuel from their own coal and the Germans gave them the patent show to manufacture synthetic rubber.

• By the 1930s, the new Nazi government needed recruited International Business Machines (IBM) for their revolutionary punched-card system. Tabulating machines made tracking lines of Jewish descent possible. By the time the Holocaust began in earnest in1941, the Nazis tattooed concentration camp prisoners with identification numbers so that administrators could track that prisoner's punch card throughout the system. IBM's machines were perfect for this, and for tracking the train traffic coming into the concentration camps. Indeed, the Nazis soon placed tabulating machines made by IBM's German subsidiary, Dehomag, in every train depot and every concentration camp.

C. The Contemporary Global Corporation

A global corporation is generally referred to as a multinational corporation (MNC), transnational corporation (TNC), international company. An enterprise that engages in activities which add value (manufacturing, extraction, services, marketing, etc) in more than one country (United Nations Centre On Transnational Corporations, 1991).MNCs place multiple production facilities in multiple countries under the control of a single corporate structure (Oatley, International Political Economy 5th Edition).

A multinational corporation (MNC) is a company that operates in more than one country. Generally, multinational corporations consist of separate companies (called subsidiaries)in different countries, all of which answer to a central office located in the firm's home country (Riggs, Everyday Finance: Economics, Personal Money Management, and Entrepreneurship)

D. The Historical Events for the Global Corporations

• 1973 Oil Crisis The crisis began when the Organization of the Petroleum Exporting Countries (OPEC), an alliance of oil-producing Arab nations, cut off oil supplies to the United States in retaliation for U.S. support of Israel (which was at war with neighboring Arab countries). Predictably, gas prices in the United States soared, and people had to wait in long lines to get gas for their cars. Many U.S. citizens believed that the oil industry, which wielded an unusual amount of power over the countries in which it operated, had engineered this sequence of events to drive up profits. These suspicions seemed confirmed by the fact that profits for all of the major oil companies increased sharply in 1974: Exxon's profits grew 28.6 percent, Gulf's 33 percent, and Mobil's 23.3 percent. These profits came at the same time that the U.S. economy was experiencing its most severe crisis since the Great Depression of the 1930s.

• World Trade Organization (WTO) is an international organization established on January1, 1995 under the Marrakesh Agreement after the Uruguay Round (1986–94) of multilateral trade negotiations. WTO is the only global international organization dealing with the rules of trade between nations. At its heart are the WTO agreements, negotiated and signed by the bulk of the world's trading nations and ratified in their parliaments. The goal is to ensure that trade flows as smoothly, predictably and freely as possible. The WTO is the successor to the General Agreement on Tariffs and Trade (GATT), which was created in 1947 in the expectation that it would soon be replaced by a specialized agency of the United Nations (UN) to be called the International Trade Organization (ITO).Although the ITO never materialized, the GATT proved remarkably successful in liberalizing world trade over the next five decades. By the late 1980s there were calls for a stronger multilateral organization to monitor trade and resolve trade disputes.

• Seattle WTO protests of 1999, in full Seattle World Trade Organization protests of 1999,also called Battle of Seattle, a series of marches, direct actions, and protests carried out from November 28 through December 3, 1999, that disrupted the World Trade Organization(WTO) Ministerial Conference in Seattle, Washington. Comprising a broad and diffuse coalition of the American Federation of Labor–Congress of Industrial Organizations(AFL

CIO) and other labor unions, student groups, nongovernmental organizations (NGOs),media activists, international farm and industrial workers, anarchists, and others, the Seattle WTO protests are often viewed as the inauguration of the anti-globalization movement

• 9/11 Attack, on the morning of September 11, 2001, 19 terrorists hijacked four planes at Boston's Logan airport. They chose planes headed for the West Coast because they would be loaded with fuel. They planned to cripple the U.S. economy by destroying three centers of power: Wall Street, the Pentagon, and the White House.

• The 9/11 attacks had both immediate and long-term economic impacts, some of which continue to this day. The attacks caused The Dow (The Dow Jones Averages are stock market indices that represent the U.S. economy in three sectors: industry, transportation and utilities) to drop more than 600 points and the 2001 recession to deepen. It also led to the War on Terror, one of the most prominent government spending programs in U.S. history

E. The Difference between 20th Century and Contemporary Multinational Corporations

• The MNCs of the post WW2 period are different from those of earlier periods in being more focused on manufacturing and services than on extraction of raw materials and commodities(Dicken, 2015) and more likely to be financed by a combination of foreign direct investment(FDI) and local capital rather than international portfolio investments (Gilpin 1975).

In addition, contemporary MNCs are the predominant owners of proprietary technology. MNCs account for at least 50 percent of R&D spending worldwide (Keller 2009; Zeile2014). In the United States and elsewhere, most patents are awarded to MNCs (Florida2005; OECD 2008). In the last two decades of the twentieth century, competing MNCs from growing number of economies have created geographically dispersed “value chains” to take advantage of lower R&D, production, and distribution costs made possible by lower barriers to trade and investment flows (Borrus and Zysman 1997; Ernst and Kim 2002;Gereffi 1996; Gereffi et al 2005; Sturgeon 2002; Sturgeon 2007; Sturgeon and Gereffi2009).

F. Activities of Multinational Corporations

• International companies are importers and exporters, typically without investment outside of their home country;

• Multinational companies have investment in other countries, but do not have coordinated product offerings in each country. They are more focused on adapting their products and services to each individual local market.

• Transnational companies are more complex organizations which have invested in foreign operations, have a central corporate facility but give decision-making, research and develop (R&D) and marketing powers to each individual foreign market.

G. Tactics of Multinational Corporations

Foreign Direct Investment occurs when a firm based in once country builds a new plantora factory or purchases existing one in a second country a national corporation thus becomes an MNC by making a foreign direct investment. As consequence, the world's stock of FDI, the total amount of foreign investment in operation has grown from 692.5 billion dollars in1980 to 16.2 trillion dollars in 2008 (United Nations Conference on Trade and Development2009,251) 2,300 percent increase in less than 30 years.

Types of FDI

1. Horizontal Integration occurs when firms create multiple production of facilities each of which produces the same good or goods. Firms integrate horizontally when a cost advantage is gained by placing a number of plants under common administrative control. Intangible asset can be

based on patented process or design. These assets are difficult to sell to other firms at a price that accurately reflect their true value that's why firms horizontally integrate.

2. Vertical integration refers to instances in which firms internalize their transaction for intermediate goods. An intermediate good is an output of one production process that serves as an input into another production process. Specific asset is an investment that is dedicated to a particular long-term economic relationship. By internalizing transactions involving specific assets, therefore, vertical integration enables welfare-improving investments

H. Contributions of Multinational Corporations

The possible benefits of a multinational investing in a country may include:

• Improving the balance of payments - inward investment will usually help a country's balance of payments situation. The investment itself will be a direct flow of capital into the country and the investment is also likely to result in import substitution and export promotion. Export promotion comes due to the multinational using their production facility as a basis for exporting, while import substitution means that products previously importedmay now be bought domestically.

• Providing employment - FDI will usually result in employment benefits for the host country as most employees will be locally recruited. These benefits may be relatively greater given that governments will usually try to attract firms to areas where there is relatively high unemployment or a good labor supply.

• Source of tax revenue - profits of multinationals will be subject to local taxes in most cases, which will provide a valuable source of revenue for the domestic government.

• Technology transfer - multinationals will bring with them technology and production methods that are probably new to the host country and a lot can therefore be learnt from these techniques. Workers will be trained to use the new technology and production techniques anddomestic firms will see the benefits of the new technology. This process is known as technology transfer.

• Increasing choice - if the multinational manufactures for domestic markets as well as for export, then the local population will gain form a wider choice of goods and services and at a price possibly lower than imported substitutes.

• National reputation - the presence of one multinational may improve the reputation of the host country and other large corporations may follow suite and locate as well

I.Issues of Multinational Corporations

• Environmental impact - multinationals will want to produce in ways that are as efficient and as cheap as possible and this may not always be the best environmental practice. They will often lobby governments hard to try to ensure that they can benefit from regulations being as lax as possible and given their economic importance to the host country, this lobbying will often be quite effective.

• Uncertainty - multinational firms are increasingly 'footloose'. This means that they can move and change at very short notice and often will. This creates uncertainty for the host country.

• Increased competition - the impact the local industries can be severe, because the presence of newly arrived multinationals increases the competition in the economy and because multinationals should be able to produce at a lower cost.

• Influence and political pressure - multinational investment can be very important to country and this will often give them a disproportionate influence over government and other organizations in the host country. Given their economic importance, governments will often agree to changes that may not be beneficial for the long-term welfare of their people

• Transfer pricing - multinationals will always aim to reduce their tax liability to a minimum. One way of doing this is through transfer pricing. The aim of this is to reduce their tax liability in countries with high tax rates and increase them in the countries with low tax rates. They can do this by transferring components and part-finished goods between their operations in different countries at differing prices. Where the tax liability is high, they transfer the goods at a relatively high price to make the costs appear higher. This is then recouped in the lower tax country by transferring the goods at a relatively lower price. This will reduce their overall tax bill.

• Low-skilled employment - the jobs created in the local environment may be low-skilled with the multinational employing expatriate workers for the more senior and skilled roles.

• Health and safety - multinationals have been accused of cutting corners on health and safety in countries where regulation and laws are not as rigorous.• Export of Profits - large

multinational are likely to repatriate profits back to their 'home country', leaving little financial benefits for the host country.

• Cultural and social impact - large numbers of foreign businesses can dilute local customs and traditional cultures. For example, the sociologist George Ritzer coined the term McDonaldization to describe the process by which more and more sectors of American society as well as of the rest of the world take on the characteristics of a fast-food restaurant, such as increasing standardization and the movement away from traditional business approaches

J. Corporations in the Philippines

A. Universal Canning Incorporated- one of the largest and most dynamic marine industrial conglomerates in the Philippines

Universal Canning, Inc. has tapped new markets for canned sardines, specifically the European Union, and likewise expanded its product line to include dried and frozen fish, firmly establishing its growing reputation as the premier seafood processing company in the country Since its inception, UCI has gradually emerged as the most dominant player in the local canned sardine industry. It's FAMILY'S brand sardines is regarded as the fastest growing sardines brand in the country and has been awarded 'Most Outstanding Sardines Brand' by multiple respectable agencies nationwide.- engaged in deep sea fishing, ice production and cold storage, seafood canning, fishmeal production, ship repair, dry dock and maintenance. The resources collectively afford an independent and fully integrated process of providing fresh fish to the market or the cannery, bringing into reality the concept of "straight from the sea to the can."

- Family's brand, master sardines, Atami brand, Mikado-Vertical Integration

• • Zamboanga Universal Fishing Corp., the largest deep-sea fishing company in Mindanao: Catches the fish;

• •Universal Shipyard: Maintains the fishing fleet;

• •Universal Ice Plant and Cold Storage: Provides the means of ensuring the fish catch stays fresh before processing

• •Southern Philippines Fishmeal Corp: Processes cannery waste materials (heads, tails, entrails) into fishmeal and fish oil.

B. Universal Robina Corporation

• engaged in a wide range of food-related businesses, including the manufacture and distribution of branded consumer foods URC is the leading branded snack foods and beverage company in the Philippines. URC

• the first “Philippine Pan ASEAN Multinational”

• has proven itself to be a trailblazer in manufacturing with a strong and loyal consumer base. URC’s products are already being exported to mainstream markets in the US, Europe, Japan, Korea the Middle East and frontier markets in West Africa, like Ghana and Nigeria.

• built three strong regional brands over the years; “Jack ‘n Jill” for snack foods, “C2” for ready to drink tea, and “Great Taste” for coffee URC’s key to success is to build very strong branding through a robust product innovation pipeline, consumer-centric marketing and world-class manufacturing and supply chain management.

• -Vertical Integration

In the early 1970s, they entered the commodities business through the formation of Continental Milling Corporation, for flour milling and production. The late 1980s brought the acquisition of three sugar mills and refineries, under URC Sugar. These two businesses provided stable cash flows, and allowed for further vertical integration in the supply chain, to help URC weather any volatility in the cyclical commodities markets. In line with this strategy, the late1990s saw the entry of URC into the plastics business, through URC Packaging.

Jollibee

• largest fast food chain in the Philippines, operating a nationwide network of over 750stores.

• A dominant market leader in the Philippines, Jollibee enjoys the lion’s share of the local market that is more than all the other multinational brands combined. The company has also embarked on an aggressive international expansion plan in the USA, Vietnam, Hong Kong, Saudi Arabia, Qatar and Brunei, firmly establishing itself as a growing international QSR player

• Jollibee Foods Corporation's ("JFC" or the "Company") core business is the development, operation and franchising of its quick-service restaurant brands.

• The tried and tested formula of delivering great-tasting food, adherence to world class operating standards and the universal appeal of the family values the brand represents that are driving the expansion of Jollibee both locally and in the overseas market.

10 Biggest Corporations by revenue (Fortune magazine 2022)

1. Walmart
2. Saudi Aramco
3. State Grid
4. Amazon
5. China National Petroleum
6. Sinopec Group
7. Exxon Mobil
8. Apple
9. Shell
10. UnitedHealth Group

The World's Largest Public Companies (Forbes Global 2000, 2018)

1. Apple
2. Saudi Aramco
3. Microsoft
4. Alphabet
5. Amazon
6. Tesla
7. Berkshire Hathaway
8. UnitedHealth
9. Meta
10. Johnson & Johnson

Assessment Task 2-1

Choose the letter of the correct answer:

1. A corporation is an artificial being created by operation of law, having the right of succession and the powers, attributes and properties expressly authorized by law or incident to its existence. This definition is in reference to :

a. Batas Pambansa Blg. 68 The Corporation Code of The Philippines, Section 2
b. Batas Pambansa Blg. 60 The Corporation Code of The Philippines, Section 2
c. Batas Pambansa Blg. 68 The Corporation Code of The Philippines, Section 5
d. Batas Pambansa Blg. 61 The Corporation Code of The Philippines, Section 2

2. What is McDonaldization? to describe the process by which more and more sectors of American society as well as of the rest of the world take on the characteristics of a fast food restaurant

a. the process by which more and more sectors of American society as well as of the rest of the world take on Mcdonald's meal
b. the process by which more and more sectors of American society copies the character of McDonald in business
c. the process by which more and more sectors of American society as well as of the rest of the world take on the characteristics of a fast-food restaurant
d. the process by which more and more sectors of American society choose the delivery service

3. What is largest fast food chain in the Philippines, operating a nationwide network of over 750stores?

a. Franks Burger
b. Mc Donalds
c. Greenwhich
d. Jollibee

4. What is generally referred to as a multinational corporation (MNC),transnational corporation (TNC), international company?

a. Global Corporation
b. Market Integration
c. Economic Stability
d. Economic Global Governance

5. What is a company that operates in more than one country?

a. multinational corporation
b. transnational corporation
c. global corporation
d. multi-racial corporation

6. What is a cooperative institution that 182 countries have voluntarily joined because they see the advantage of consulting with one another on this forum to maintain a stable system of buying and selling their currencies?

a. International Monetary Fund
b. Cooperative International Monetary Fund
c. International Bank of Europe
d. World Bank

7. What is a situation in which separate markets for the same product become one single market, for example when an import tax in one of the market is removed?

a. Global Economy
b. Market Integration
c. Monetary Fund
d. Vertical Integration

8. It describes a process by which national and regional economies, societies, and cultures have become integrated through the global network of trade, communication, immigration, and transportation.

a. Monetary Fund Acquisition

b. Fund Generalization

c. Globalization

d. Contemporary World

9. It refers to the exchange of goods and services between different countries, and it has also helped countries to specialize in products which they have a comparative advantage in. a. International Trade

b. Global Investment

c. International Finance

d. World Trade

10. It consists of topics like currency exchange rates and monetary policy.

a. International finance

b. Global Investment

c. International Finance

d. World Trade

Assessment Task 2-2

Analyze the 2017 World Economic Forum World's 10 Biggest Corporations by researching on and sustaining the data needed below. Choose only 5 companies to analyze. Make your information simple, brief, and concise.

Corporations	Brief Company Background	Major Economic Contribution
1. Apple		
2. Alphabet		
3. Microsoft		
4. Berkshire Hathaway		
5. Exxon Mobil		
6. Amazon		
7. Facebook		
8. Johnson and Johnson		
9. General Electric		
10. China Mobile		

Summary

- Market Integration is a situation in which separate markets for the same product become one single market, for example when an import tax in one of the market is removed.

- Integration is taken to denote a state of affairs or a process involving attempts to combine separate national economies into larger economic regions. There are several important concepts related to the topics that was discussed that largely affect the market integration.
- Free Trade wherein international trade (the importation and exportation) left to its natural course without tariffs and non-tariff trade barriers such as quotas, embargoes, sanctions or other restrictions. o Tariffs - taxes or duties to be paid on a particular class of imports or export so Embargo - a government-instituted prevention of exports to a certain country.
- World Bank is a multinational financial institution established at the end of World War II (1944) to help provide long-term capital for the reconstruction and development of member countries.
- IMF is a cooperative institution that 182 countries have voluntarily joined because they see the advantage of consulting with one another on this forum to maintain a stable system of buying and selling their currencies

References

Murphy, H. (2019). Dealing with The Devil: The Triumph and Tragedy of IBM's Business with the Third Reich. The History Teacher, 53(1), 171–193. https://www.jstor.org/stable/27058571

Amadeo, K. (n.d.). How the 9/11 Attacks Still Damage the Economy Today. Retrieved July 8, 2018, from https://www.thebalance.com/how-the-9-11-attacks-still-affect-the-economy-today 3305536

What is the WTO? (2023). https://www.wto.org/english/thewto_e/thewto_e.htm. Retrieved January 16, 2024.

Birchall, J., Morris, G., & Clark, P. (n.d.). 1 Introduction to Business Management. Retrieved July 8, 2018, from http://textbook.stpauls.br/business_organization/page_144.htm

Boitnott, J., Patel, D., & Zipkin, N. (n.d.). Corporation Definition - Entrepreneur Small Business Encyclopedia. Retrieved July 8, 2018, fromh ttps://www.entrepreneur.com/encyclopedia/corporation

Lancaster University Publication. (2022). Muscovy Company. Lancaster University. Retrieved January 16, 2024, from https://www.lancaster.ac.uk/fass/projects/quakers/notes/muscovy.html

Thiebaut R. (2020). The WIC, the Dutch West India Company (EN, FR). Manifest. Retrieved January 16, 2024, from https://www.projectmanifest.eu/the-wic-the-dutch-west-india-company-en-fr/

Casey-Sawicki, K. (2023). Seattle WTO protests of 1999. Encyclopedia Britannica. https://www.britannica.com/event/Seattle-WTO-protests-of-1999

Canada, G. A. (2023). International financial institutions and United Nations procurement.GAC.https://www.tradecommissioner.gc.ca/development-developpement/ifi/overview-ifi-apercu.aspx?lang=eng

Forbes (2023). Top 10 biggest companies in the world by market cap in 2023. Forbes India. https://www.forbesindia.com/article/explainers/top-10-largest-companies-world-market-cap/86341/1

Fortune Magazine. (2023, December 18). Fortune 500. Fortune. https://fortune.com/ranking/fortune500/

Casas M.D.L. et al (2019). IMF Involvement in International Trade Issues. IMF Library. ISBN 9781513522203

The IMF and the World Bank. (2022, July 12). IMF. Retrieved January 16, 2024, from https://www.imf.org/en/About/Factsheets/Sheets/2022/IMF-World-Bank-New

Political Economy 5E (Oatley).pdf - PDF Drive. (n.d.). Retrieved from https://www.pdfdrive.net/international-political-economy-5e-oatleypdf-e23881095.html

Myers, J. (n.d.). Here's everything you need to know about the world's free trade areas. Retrieved from https://www.weforum.org/agenda/2016/05/world-free-trade-areas-everything-you-need-to know/

Chen, J., Hu, X., Huang, J. et al (2022). Market integration and green economic growth—recent evidence of China's city-level data from 2004–2018. Environ Sci Pollut Res 29, 44461–44478 . https://doi.org/10.1007/s11356-022-19070-9

MODULE 4
The Global Interstate System

Introduction

The world is composed of numerous countries or states with their own respective forms of government. Some political scholars may be interested in studying the internal relations of the country like its bureaucracy and political systems. Others may be concerned with the country's interaction with other countries and their relationships. This includes trades and diplomatic engagements. Claudio and Abinales (2022) pointed out that studies like these on the field of politics is known as international relations. However, if the scholars explored the deepening of interactions between and among states, it must be referred to as the phenomenon of internationalization (Claudio & Abinales, 2022).

In this chapter, we are going to delve with the second part of the different structures of globalization and how it is different from each other. We will also examine internationalization as a lens in understanding the globalization of politics.

Learning Outcomes

At the end of this module, students should be able to:

1. Explain the effects of globalization on governments;
2. Identify the institutions that govern international relations;
3. Differentiate internationalism from globalism;
4. Identify the roles and functions of the United Nations;
5. Identify the challenges of global governance in the twenty-first century; and
6. Explain the relevance of the state amid globalization.

Lesson 1. The Attributes of Today's Global System

It is important to note that internationalization is not equal to globalization, but the former is a major component of the latter. As discussed in the previous lessons, Globalization can be defined as a complex web of mutual dependence within a multitude of areas (economic, social and political) (Bloor, 2023). Nonetheless, it should be underscored that international relations are a significant facet of globalization because states/ governments are the key drivers of global processes. The world politics today has four key attributes. Claudio and Abinales (2022) identified them as the following:

1. The countries or the states that govern themselves
2. The interaction of the countries with each other through diplomacy
3. The international organizations that facilitate these interactions
4. Own operations of the international organizations

What are the origins of this system?

A good start to answer this question is through understanding what we mean by a "country," or as academics termed it "nation-states." Academically speaking, nation-state is a relatively modern phenomenon that has a very complex definition. In the history of human societies, people do not always identify themselves as a member of a political body. Rather they exclusively affiliate themselves with small units as their village or tribes (Claudio & Abinales, 2022). They also sworn allegiance and membership to a larger political category like "Christendom" (or known as the entire Christian world).

The term nation-state is composed of two non-interchangeable words – nation and state. In politics and political globalization, these two terms must not be used haphazardly because as Claudio and Abinales (2022) argued, "not all states are nations and not all nations are states" (p. 28). They also added that if there are states with multiple nations, there are also single nations with multiple states like the nation of Korea that is divided into two states (North and South) (Claudio & Abinales, 2022).

1.1 The State

In simplest term, state refers to a country and its government like the government of the Philippines. However, it should be noted that a country can only be considered as a state if it possesses the four elements of the state:

1. Citizen – it exercises authority over a specific population
2. Territory – it occupies a defined territory
3. Government – crafts various rules that people follow; promotes protection of its citizens 4. Sovereignty – it is sovereign over its own territory; known as the internal and external authority

globalization emerged as a result of sovereignty and since the discourse of sovereignty and globalization is about the same space and its inhabitants, they are bound to be discursively set against each other if the discourse focusses solely on the phenomena seen as globalization. (Charsmar, 2020). This means that organizations and groups like the church, the civil society, corporations, and other entities need to follow the laws of the state where they establish their parishes, offices, or headquarters (Claudio & Abinales, 2022). Externally, sovereignty means that the policies and procedures of the state are independent from the interventions of other states. Hence, Russia and the United States cannot pass laws for the Philippines and vice versa (Claudio & Abinales, 2022).

1.2 The Nation

Flohr (2022) elaborated on Benedict Anderson's argument that a nation is an "imagined community" because it is limited and does not go beyond the "official boundary." He added that he also considered nation as an imagined community because the rights and responsibilities are mainly the privilege and concern of the citizens of a particular nation.

Claudio and Abinales (2022) explained that being "limited" means having boundaries which is a contrasting attribute to many religious imagined communities. For instance, anyone can be Catholic if they choose to. In fact, the Catholics want more people to join their communities for the purpose of discipleship. On the other hand, not everyone can become a Filipino. An American cannot just "convert" into being a Filipino citizen. Nations often limit themselves to people who have imbibed a particular culture, speak a common language, and live in a specific territory (Claudio & Abinales, 2022).

Flohr (2022) also pointed that calling nations "imagine" does not mean that it is made up. Rather, the nation allows one to feel a connection with a community of people even if he/she will never all of them personally in his/her lifetime Flohr(2022) . Additionally, Cluadio & Abinales (2022) argued that "most nations strive to become states." For instance, even if Quebec belong to the state of Canada, they have different laws and language that sets them

apart from Canada (they require French language competencies for its citizens). Similarly, Scotland led by the Scottish Nationalist Part has a strong independence movement from the United Kingdom (Claudio & Abinales, 2022).

1.3 Nation and State

Nation and state are closely related because it is a kind of nationalism that facilitates the state formation. In the contemporary era, it has been the nationalist movements that allowed the creation of nation-states. States become independent and sovereign because of the nationalist sentiment that clamors for this independence (Claudio & Abinales, 2022). Thus, sovereignty is one of the fundamental principles of modern state politic

Lesson 2. Political Institutions in International Relations

According to Steger (2022), political globalization has several dimensions which lends to a number of interpretations like the globalization itself. It has been discussed in the context of new emancipatory possibilities, as well as in the context of loss of autonomy and fragmentation of the social world. Political globalization can be seen in changes such as democratization of the world, creation of the global civil society, and moving beyond the centrality of the nation-state, particularly as the sole actor in the field of politics. Some of the questions central to the discussion of the political globalization are related to the future of the nation-state, whether its importance is diminishing and what are the causes for those changes; and understanding the emergence of the concept of global governance.

2.1 The Nation State

Nation-state, as defined in Britannica (n.d.), is a territorially bounded sovereign polity—i.e., a state—that is ruled in the name of a community of citizens who identify themselves as a nation. The legitimacy of a nation-state's rule over a territory and over the population inhabiting it stems from the right of a core national group within the state (which may include all or only some of its citizens) to self-determination. Members of the core national group see the state as belonging to them and consider the approximate territory of the state to be their homeland. Accordingly, they demand that other groups, both within and outside the state, recognize and respect their control over the state.

As a political model, the nation-state fuses two principles: the principle of state sovereignty, first articulated in the Peace of Westphalia (1648), which recognizes the right of states to govern their territories without external interference; and the principle of national sovereignty, which recognizes the right of national communities to govern themselves. National sovereignty, in turn, is based on the moral-philosophical principle of popular sovereignty,

according to which states belong to their peoples. The latter principle implies that legitimate rule of a state requires some sort of consent by the people. However, that requirement does not mean that all nation-states are democratic. Indeed, many authoritarian rulers have presented themselves—both to the outside world of the states and internally to the people under their rule —

as ruling in the name of a sovereign nation.

Nowadays, nation-states have their own characteristics that may be taken-for-granted, but that all developed in contrast to pre-national states. Their territory is considered semi-sacred and nontransferable. Nation-states use the state as an instrument of national unity, in economic, social, and cultural life. Nation-states typically have a more centralized and uniform public administration than their imperial predecessors because they are smaller and less diverse. After the 19th-century triumph of the nation-state in Europe, regional identity was usually subordinate to national identity. In many cases, the regional administration was also subordinate to central (national) government. This process has been partially reversed from the 1970s onward, with the introduction of various forms of regional autonomy in formerly centralized states like France.

The most salient impact of the nation-state, as compared to its non-national predecessors, is the creation of a uniform national culture through state policy. The model of the nation-state implies that its population constitutes a nation, united by a common descent, a common language, and many forms of shared culture. When the implied unity was absent, the nation-state often tried to create it. The creation of national systems of compulsory primary education is usually linked with the popularization of nationalist narratives. Even today, primary and secondary schools around the world often teach a mythologized version of national history (Lumen Learning, 2021).

Hall (2020) explained that the role of the nation-state in globalization as a complex one in part due to the varying definitions and shifting concepts of globalization. While it has been defined in many ways, globalization is generally recognized as the fading or complete disappearance of economic, social, and cultural borders between nation-states. Some scholars have theorized that nation-states, which are inherently divided by physical and economic boundaries, will be less relevant in a globalized world. While increasingly reduced barriers regarding international commerce and communication are sometimes seen as a potential threat to nation-states, these trends have existed throughout history. Air and sea transportation that made same-day travel to other continents possible and greatly expanded trade among countries did not abolish the sovereignty of individual nations. Instead, globalization is a force that changed the way nation states deal with one another, particularly in the area of international commerce.

2.2 Civil Society

Kenny(2023) cited that the standard definition of a civil society is the space outside of government, family, and market. It is a place where individuals and collective organizations advance common interests. Civil society organizations can include community groups, non governmental organizations, social movements, labour unions, indigenous groups, charitable organizations, faith-based organizations, media operators, academia, diaspora groups, lobby and consultancy groups, think tanks and research centers, professional associations, and foundations. Political parties and private companies can also be counted as borderline cases.

The presence of civil society organizations in international affairs has become increasingly relevant. They have played a role in agenda setting, international law-making and diplomacy. Furthermore, they have been involved in the implementation and monitoring of a number of crucial global issues. These range from trade to development and poverty reduction, from democratic governance to human rights, from peace to the environment, and from security to the information society. Because of these reasons, international relations cannot be fully captured without taking into account the actions of civil society organizations. Over recent decades, civil society activities have been responsible for a number of important contributions. While this is still far from a decisive move towards a comprehensive democratization of world politics, the incremental steps should not be underestimated. At least two kinds of impact can be identified. In the first instance, civil society organizations have managed to influence political decision-makers by giving voice to the voiceless and framing new issues. At the same time, they have managed to pressurize global governance institutions so that today the overall level of transparency, consultation, outside evaluation and efficiency is measurably higher than it was in the past. Such results cannot be attributed solely to civil society, but they have been achieved in part by civil mobilizations.

There are many ways that do not require use of public institutions such as governments – these are non-governmental organizations (NGOs) that operate in a public space separate from the state – civil society. The revolution in communication technology has made communication across borders easier and cheaper than ever, it is possible to mobilize public awareness and support for injustices that a few decades ago would have remained unknown. States are being forced to adapt to the impact of networks of civil society groups operating domestically and transnationally.

Lesson 3. The Interstate System

The state has been widely accepted as the subject of interest among scholars of global politics because it is considered as an institution which creates warfare and sets economic policies of a country (StuDocu, 2021). It is also viewed as a political unit that has an authority over its own affairs. Therefore, it is presumed that whoever is in charge of the country's borders can determine exactly what is going to happen in their country (StuDocu, 2021).

3.1 The Treaty of Westphalia

The Treaty of Westphalia established the notion of sovereignty and nation-state. It is a set of agreements that was signed in 1648 in order to end the Thirty Years' War among the major continental powers of Europe (Claudio & Abinales, 2022). Subsequent with the brutal religious wars between the Catholics and Protestants, several countries and its allies designed a system that would avert future wars by recognizing the treaty and its signers. The signers include the Holy Roman Empire, Spain, France, Sweden, and the Dutch Republic who acknowledged that all signers exercise complete control over their domestic affairs and vowed not to meddle in each other's affairs (Claudio & Abinales, 2022).

The Westphalian system provided stability for different nations in Europe until Napoleon Bonaparte challenged it. In contradiction to the Westphalian system, Bonaparte believed in spreading the principles of the French Revolution – liberty, equality, and fraternity. (Claudio & Abinales, 2022). These principles challenged the powers of the kings, nobility, and religion in Europe which resulted to Napoleonic Wars that lasted from 1803-1815, Bloor (2023).

Napoleon's army marched all over Europe and implemented the Napoleonic Code to every country that they conquered. The code forbade birth privileges, encouraged freedom and religion, and promoted meritocracy in government service (Claudio & Abinales, 2022). This system shocked the monarchies and other hereditary elites of Europe who mustered their armies to push
against the French emperor.

The Anglo and Prussian armies finally defeated Napoleon and prevented the spread of his liberal ideologies across Europe. It was only during his defeat in the Battle of Waterloo in 1815, that the concept of European civilization became fundamental in understanding the international

order and new techniques of international rule. Hence, in order to prevent another war and to keep the system of privileges, the royal powers created a new system called the Concert of Europe. It is an alliance of “great powers” characterized by the United Kingdom, Austria, Russia, and Prussia who sought to restore the world’s monarchical, hereditary, and religious powers (Claudio & Abinales, 2022). The alliance also sought to restore the sovereignty of the states.

Today, the globalization of politics created an atmosphere where the ideas of the nation state, state sovereignty, government control, and state policies are continuously challenged from all sides (StuDocu, 2021).

3.2 Contemporary Global Politics

Political globalization is one of the three main dimensions of globalization, the other two are the economic and cultural globalization. Charsmar (2020) defined political globalization as the growth in size and complexity of the worldwide political system. This system includes the national governments and their governmental and intergovernmental organizations. It is also characterized by some government-independent elements of the civil society such as the international non-governmental and social movement organizations.

According to Charsmar (2020), one of the key aspects of the political globalization is the declining importance of the nation-state and the rise of other actors on the political scene. One of its classic examples is the creation and existence of the United Nations.

Traditionally, politics has been undertaken within national political systems. National governments have been ultimately responsible for maintaining the security and economic welfare of their citizens, as well as the protection of human rights and the environment within their borders. With global ecological changes, an ever more integrated global economy and other global trends, political activity increasingly takes place at the global level.

Under globalization, politics can take place above the state through political integration schemes such as the European Union and through intergovernmental organizations like the International Monetary Fund, the World Bank, and the World Trade Organization. Political activity

can also transcend national borders through global movements and NGOs. Civil society organizations act globally by forming alliances with organizations in other countries using global communications systems and directly lobbying international organizations and other actors, instead of working through their national governments.

Lesson 4. Internationalism

The Westphalian and Concert systems divided the world into separate sovereign entities. Since the existence of the interstate systems, there have been attempts to transcend it. Some key figures like Bonaparte directly challenged the system by infringing on other state's sovereignty. In contrast, some others sought to imagine other systems of governance that go beyond but do not necessarily challenge the sovereignly of the other states (Claudio and Abinales, 2022). Still, others imagine a system of heightened interaction between several states, particularly the desire for greater cooperation and unity among states and people. This is called internationalism (Claudio & Abinales 2022).

Internationalism comes in different forms, but it may be divided into two broad categories: liberal internationalism and socialist internationalism.

4.1 Liberal Internationalism

One of the most popular thinkers of liberal internationalism is Immanuel Kant who asserted that states in the global system is like the people living in a given territory. He argued that if people living together require a government to prevent lawlessness, the same principle should also be applied to the states (Jackson, 2023). He contested that without a form of world government, the international system would be chaotic. Hence, similar to the citizens of the countries, states must also give up some freedom and "establish a continuously growing state consisting of various nations which will ultimately include the nations of the world" (Claudio & Abinales, 2022, p. 32). In short, we can argue that Kant imagined a form of global government.

Similarly, Jeremy Bentham advocated the creation of "international law" that would govern the inter-state relations (Shawn, 2024). Bentham believed that objective global legislators should aim to propose legislation that would create the "greatest happiness of all nations taken together" (Claudio & Abinales, 2022). To most people, these proposals for global government and international law seemed to present challenges to the states. Hence, many contentions arose from different parts of the world.

The first thinker to reconcile nationalism with liberal internationalism was the 19th century Italian patriot Giuseppe Mazzini. Mazzini is both an advocate of the unification of the various Italian-speaking mini-states and a major critic of the Metternich system (Bottelier, 2020). He believed in a Republican government (without kings, queens, and hereditary succession) and proposed a system of free nations that cooperated with each other to create an international system (Bottelier, 2020).

For Mazzini, free, independent states would be the basis of an equally free and cooperative international system. He argued that if the various Italian mini-states could unify, one could scale up the system to create, for instance, a United States of Europe. Mazzini is a nationalist internationalist who believes that free, unified nation-states should be the basis of global cooperation (Bottelier, 2020).

Mazzini influenced the mindset of former president of the United States (1913-1921) Woodrow Wilson who became one of the prominent internationalists in the 20th century. Similar to Mazzini, Wilson saw nationalism as a prerequisite for internationalism. This is the reason why he forwarded the principle of self-determination – the belief that the world's nations had a right to a free, and sovereign government.

Wilson hoped that these free nations would become democracies because only by being democratic, they would be able to build a free system of international relations based on international law and cooperation (Bottelier, 2020). This made Wilson the most notable advocate for the creation of the League of Nations.

At the end of World War I in 1918, Wilson pushed to transform the League into a venue for conciliation and arbitration to prevent another war. He later awarded with the Nobel Peace Prize in 1919.

4.2 Socialist Internationalism

One of Mazzini's biggest critic was the German philosopher Karl Marx who was also an internationalist, but did not believe in internationalism unlike the former. Marx believes that the true form of internationalism should deliberately reject nationalism because it rooted people in domestic concerns instead of the global ones (Claudio & Abinales, 2022).

Instead, Marx placed a premium on economic equality. He did not divide the people into countries, but into classes. The capitalist class referred to the owners of factories, companies, and other "means of production." Conversely, the proletariat class includes the people who did not own the means of production, rather, they worked for the capitalist (Claudio & Abinales, 2022).

Marx and his co-author, Friedrich Engels, believed that in a socialist revolution, proletariat "had no notion" when people seek to overthrow the state and alter the economy. Hence, their now-famous battle cry, "Workers of the world, unite! You have nothing to lose but your chains" (Claudio & Abinales, 2022). They opposed nationalism because they believed that it prevented the unification of the world's workers. Instead identifying with other workers, nationalism could make workers in individual countries identify with the capitalists of their countries (Claudio & Abinales, 2022).

Marx died in 1883 but his followers soon sought to make his vision concrete by establishing their international organization known as the Socialist International (SI) (Spargo, 1910). SI was a union of European socialist and labor parties established in Paris in 1889. Although short-lived, the SI's achievements included the declaration of May 1 as Labor Day and the creation of an International Women's Day. Most importantly, it initiated the successful campaign for an 8-hour workday.

The SI collapsed during World War I as the member parties refused or were unable to join the internationalist efforts to fight for the war. Many of these sister parties even ended up fighting each other. It was a confirmation of Marx's warning: when workers and their organizations take the side of their countries instead of each other, their long-term interests are compromised (Claudio & Abinales, 2022).

As the SI collapsed, a more radical version emerged. In the so-called Russian Revolution of 1917, Czar Nicholas II overthrown and replaced by a revolutionary government led by the Bolshevik Party and its leader, Vladimir Lenin. This new state was called the Union of Soviet Socialist Republics or the USSR. Unlike the majority of the member parties of the SI, the Bolsheviks did not believe in obtaining power for the working class through elections. Rather, they exhorted the revolutionary "vanguard" parties to lead the revolutions across the world, using methods of terror if necessary. Today, parties like this are referred to as Communist parties.

In order to encourage these socialists revolutions across the world, Lenin established the Communist International (Comintern)in 1919. The Comintern served as the central body for directing Communist parties all over the world. This International was not only more radical than the Socialist International, it was also less democratic because it followed closely the top-down governance of the Bolsheviks.

Many of the world's states feared the Comintern, believing that it was working in secret to stir up revolutions in their countries. A problem arose during the World War II when the Soviet Union joined the Allied Powers in 1941. The United States and the United Kingdom would, of course, not trust the Soviet Union in their fight against Hitler's Germany. These countries wondered if the Soviet Union was trying to promote revolutions in their backyards. To appease his allies, Lenin's successor, Joseph Stalin, dissolved the Comintern in 1943.

After the war, however, Stalin re-established the Comintern as the Communist Information Bureau (Cominform). The Soviet Union took over the countries in easter Europe when the United States, the Soviet Union, and the Great Britain divided the war-torn Europe into their respective spheres of influence. The Cominform. Like the Comintern before it, helped direct the various communist parties that had taken power in Easter Europe.

With the eventual collapse of the Soviet Union in 1991, whatever existing thoughts about the communists internationalism also practically disappeared. The SI manages to re-establish itself in 1951, but ist influence remained primarily confined to Europe, and has never been considered a major player in international relations to this very day.

For the postwar, however, liberal internationalism would once again be ascendant. And the best evidence of this is the rise of the United Nations as the center of global governance.

4.3 Internationalism and Globalization

Internationalism is only one window into the broader phenomenon of globalization.

Nevertheless, it is a very crucial aspect of globalization since global interactions are heightened by the increased interdependence of the states. This increased interdependence manifests itself not just through state-to-state relations. Increasingly, international relations are also facilitated by international organizations that promote global norms and policies. The most prominent examples of this organization is the United Nations

Lesson 5. Contemporary Global Governance

Global governance refers to the rules, norms and laws that make and remake global systems and the geographical consequences for citizens, ecosystems and human, and physical environments in different places. Rules refer to standards for activities, norms refer to expectations about what is considered to be 'normal and reasonable', and laws refer to obligations and duties on signatories. What makes global governance a complex affair is that even parties nominally signed up and committed to global governance systems can and do differ on how they interpret, engage and enforce rules, norms, and laws. This can have important consequences for human and different environments in areas such as human rights protection and conservation management.

5.1 Global Governance in the Twenty-First Century

There is a series of specific factors behind the emergence of global governance. The first on the list is the declining power of nation-states. If states themselves were "highly contingent and in flux" (Rosenau, 2021), it would open the possibility of the emergence of some form of global governance to fill the void. A second factor is the vast flows of all sorts of things that run into and often right through the borders of nation-states. This could involve the flow of digital information of all sorts through the Internet. It is difficult, if not impossible, for a nation-state to stop such flow and in any case, it is likely that such action would be politically unpopular and bring much negative reaction to the nation-state involved in such an effort. For instance, China's periodic efforts to interfere with the Internet have brought great condemnation both internally and externally.

Global governance is not a singular system. There is no "world government", but the many different regimes of global governance do have commonalities: While the contemporary system of global political relations is not integrated, the relation between the various regimes of global governance is not insignificant, and the system does have a common dominant organizational form. The dominant mode of organization today is bureaucratic rational—regularized, codified, and rational. It is common to all modern regimes of political power and frames the transition from classical sovereignty as the second regime of sovereignty—liberal international sovereignty. As cited by Weiss, T. G (2019) Global governance can be roughly divided into four stages:

1. agenda-setting - describes the ongoing process by which various groups attempt to transfer their interests to be the interests of public policymakers.

2. policymaking - Policy is a deliberate system of guidelines to guide decisions and achieve rational outcomes. A policy is a statement of intent and is implemented as a procedure or protocol.

3. implementation and enforcement - this refers to the carrying out of public policy and the proper execution of the process of ensuring compliance with laws, regulations, rules, standards, and social norms.

4. evaluation, monitoring, and adjudication. - the settlement of international disputes according to international law by international tribunals

5.2 The Three 'Gaps' in Global Governance

As cited by Gobalo (2019), the World Health Organization stated in their report that there is the jurisdictional gap between the increasing need for global governance in many areas - such as health - and the lack of an authority with the power, or jurisdiction, to take action. Moreover, the gap of incentive between the need for international cooperation and the motivation to undertake it. The incentive gap is said to be closing as globalization provides increasing impetus for countries to cooperate. However, there are concerns that as Africa lags further behind economically, its influence on global governance processes will diminish. At last, the participation gap, which refers to the fact that international cooperation remains primarily the affair of governments, leaving civil society groups on the fringes of policy-makinh

Lesson 6. Effects of Globalization to Governments

One of the key aspects of state sovereignty is the government. It is a group of people who have the ultimate authority to act on behalf of a state. Each state has its own right to self-determination and that other country should not intervene in the affairs of that state unless there are extraordinary reasons to do so.

Other countries must recognize sovereignty or the right to govern one's own territorial borders. Each state is autonomous unto itself and responsible within its own system of government to those who are governed. The decisions, the conflict, and the resolution of that conflict are done through the institutions of government established and codified in that particular state, whether or not through elections. Elections, especially in democratic society, provide the leadership of the state. In addition, the policy is developed and implemented in the Interest of the people of a state by a specific government.

A civil society within a state can also act as a counterweight or as a supplement to government. Civil society includes the private economy, educational institutions, churches, hospitals, fraternal organizations, and other non-profit organizations. There have been several challenges to the government and ultimately, to state autonomy. We can divide these challenges into four: traditional challenges, challenges from national or identity movements, global economics, and global social movements (StuDocu,2021).

Summary

- The world is composed of numerous countries or states with their own respective forms of government. Some political scholars may be interested in studying the internal relations of the country like its bureaucracy and political systems. Others may be concerned with the country's interaction with other countries and their relationships. This includes trades and diplomatic engagements. This chapter delved with the second part of the different structures of globalization and how it is different from each other. It also examined internationalization as a lens in understanding the globalization of politics.
- Nation and state are closely related because it is a kind of nationalism that facilitates the state formation. In the contemporary era, it has been the nationalist movements that allowed the creation of nation-states. The state has been widely accepted as the subject of interest among scholars of global politics because it is considered as an institution which creates warfare and sets economic policies of a country. It is also viewed as a political unit that has an authority over its own affairs. Therefore, it is presumed that whoever is in charge of the country's borders can determine exactly what is going to happen in their country. On the other hand, it is argued that nation is an "imagined community" because it is limited and does not go beyond the "official boundary."
- The Westphalian and Concert systems also divided the world into separate sovereign entities. Since the existence of the interstate systems, there have been attempts to transcend it. Many scholars imagine a system of heightened interaction between several states, particularly the desire for greater cooperation and unity among states and people. This is called internationalism. Internationalism comes in different forms, but it may be divided into two broad categories: liberal internationalism and socialist internationalism.

- In liberal internationalism, scholars argued that states must also give up some freedom and “establish a continuously growing state consisting of various nations which will ultimately include the nations of the world.” Marx believes that the true form of internationalism should deliberately reject nationalism (known as socialist internationalism) because it rooted people in domestic concerns instead of the global ones.
- Internationalism is only one window into the broader phenomenon of globalization. Nevertheless, it is a very crucial aspect of globalization since global interactions are heightened by the increased interdependence of the states. This increased interdependence manifests itself not just through state-to-state relations. Increasingly, international relations are also facilitated by international organizations that promote global norms and policies. The most prominent examples of this organization is the United Nations.

Assessment Task 1-1

Write an essay discussing the impacts of globalization on the structure and functions of governments. Include examples of how globalization has influenced policies, economies, and political decision-making at the national level. Analyze both positive and negative effects.

Assessment Task 1-2

Research and create a presentation on major international institutions (e.g.,IMF, World Bank, WTO). Include information on their establishment, functions, and impact on global governance. Discuss how these institutions contribute to shaping international relations. Ensure to provide proper citations for your sources.

Source: _____

Performance Task 1-1

Create a concept map that illustrates the distinctions and similarities between internationalism and globalism. Provide definitions for each term and offer examples of how these concepts manifest in various aspects of global governance.

Performance Task 1-2

Conduct a Model United Nations (MUN) simulation where students are broken into focus groups and take on roles representing different countries. During the simulation, students should actively participate in discussions on global challenges, the roles of the United Nations, and the relevance of the state in addressing contemporary global issues. After the simulation, students would write a reflective essay on the experience.

References

. Claudio, L. E., & Abinales, P. N. (2020). *The Contemporary World* (2nd ed.) [E-book]. C & E publishing. ISBN: 9789719818328

Bloor, K. (2023). The state and globalisation. E-International Relations. https://www.e-ir.info/2022/05/16/the-state-and-globalisation/

Charsmar, H. C. (2020). Sovereignty vs Globalization: Indispensable Discourse due to Relationship. International Journal of Political Theory, 4(1). https://doi.org/10.22609/1.4.1.6

Flohr, M. (2023, November 20). Benedict Anderson's Imagined Communities. Critical Legal Thinking. https://criticallegalthinking.com/2023/04/25/benedict-andersons-imagined-communities/

Steger, M.B., Benedikter, R., Pechlaner, H. and Kofler, I. (2023). Globalization: Past, Present, Future. California: University of California Press. DOI: https://doi.org/10.1525/luminos.172

Kenny, M. (2023, December 23). civil society. Encyclopedia Britannica. https://www.britannica.com/topic/civil-society

Hafner-Burton EM, Kahler M, Montgomery AH. Network Analysis for International Relations. International Organization. 2009;63(3):559-592. doi:10.1017/S0020818309090195

Charsmar, H. C. (2020). Sovereignty vs Globalization: Indispensable Discourse due to Relationship. International Journal of Political Theory, 4(1). https://doi.org/10.22609/1.4.1.6

Jackson, V. (2023). Liberal Internationalism and Its Critics. In *Grand Strategies of the Left: The Foreign Policy of Progressive Worldmaking* (pp. 23-37). Cambridge: Cambridge University Press. doi:10.1017/9781009002080.004

Shaw, M. (2024, January 9). international law. Encyclopedia Britannica. https://www.britannica.com/topic/international-law

Bottelier, T. (2020). Student Feature - Spotlight on Liberal Internationalism. E-International Relations. Retrieved January 16, 2024, from https://www.e-ir.info/2020/01/31/student-feature-spotlight-on-liberal-internationalism/

Rosenau, J. N. (2021). Governance in the Twenty-First century. In BRILL eBooks (pp. 16–47). https://doi.org/10.1163/9789004462601_003

Weiss, T. G., & Wilkinson, R. (2019). Rethinking global governance. John Wiley & Sons.

Gobalo. (2019). Defining global governance. Marbella International University Centre.

https://miuc.org/defining-global-governance/